Practice workbook · Calculate the current ratio

Calculating the current ratio as current assets divided by current liabilities, expressed as x:1 to the stated rounding.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-17

1. Question 3 · part c · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part c only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

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1. Question 3 · part c · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part c only.

Irsi Chocolatier will need to consider many factors if it wants to introduce its new product of chocolate lollipops.

(d) Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product.

(6)

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1. Question 3 · part c · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 In 2017 one of *Lavender's* outlets had current assets of 120 000 MYR and current liabilities of 90 000 MYR.

(a) Calculate to 2 significant figures the current ratio for 2017. You are advised to show your workings.

(2)

(b) Analyse the benefits to *Lavender* of using internal sources of finance for its expansion plans.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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3. Question 4 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

4 **Figure 2** is an extract from *NOF*'s financial information for 2020.

	£
Current assets	300 000
Stock	50 000
Current liabilities	220 000

Figure 2

(a) Calculate, to 2 decimal places, the current ratio for 2020. You are advised to show your working.

(2)

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3. Question 4 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

(b) Analyse the benefits to *NOF* of using personal savings to expand its product range.

(6)

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3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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4. Question 3 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

3 (a) Define the term **inventory**.

(1)

(b) Outline **one** method that *TBTS* might use to respond to greater competition.

(2)

In 2021, a *TBTS* toy shop had current liabilities of 36 000 SGD and current assets of 216 000 SGD.

(c) Calculate the current ratio for 2021. You are advised to show your working.

(2)

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4. Question 3 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

(d) Analyse the importance of *TBTS* motivating its employees.

(6)

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4. Question 3 · part c · 2 marks · Working and answer

Working and answer

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5. Question 4 · part a · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

4 In 2019 *LEGO* had current assets of 34 946 million DKK and current liabilities of 12 763 million DKK.

(a) Calculate, to two decimal places, the current ratio in 2019. You are advised to show your working.

(2)

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5. Question 4 · part a · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

Quality has always been one of *LEGO*'s main values. It wants everything that it makes and sells to be the best so its toys can help children learn and develop. It has a motto that 'only the best is good enough'. The founder of *LEGO* set a company rule that 'No one must be able to do this, better than us'. He also stated that he wanted 'only the best people that money could buy' to work at the business.

(b) Analyse the benefits to *LEGO* of increasing the use of robotics in the manufacture of toys and games.

(6)

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5. Question 4 · part a · 2 marks · Working and answer

Working and answer

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6. Question 3 · part c · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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3 In 2021 *M&M* moved from 20th to 2nd place as one of India's best workplaces.

(a) Define the term **autonomy**.

(1)

(b) Outline **one** reason why *M&M* might locate a new factory near to a labour force.

(2)

In 2020 *M&M* had current assets of 3 400 million Indian Rupees and current liabilities of 900 million Indian Rupees.

(c) Calculate, to 2 decimal places the current ratio for 2020. You are advised to show your working.

(2)

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6. Question 3 · part c · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Analyse why *M&M* would want to compare its business with other vehicle manufacturers.

(6)

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6. Question 3 · part c · 2 marks · Working and answer

Working and answer

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7. Question 3 · part c · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

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3 *TUI* wants to maintain its reputation by continuing to provide quality holidays and experiences that customers will enjoy. This will encourage them to return to book future holidays with *TUI*.

(a) Define the term **multinationals**.

(1)

(b) Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell.

(2)

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7. Question 3 · part c · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

Figure 1 shows the current assets and current liabilities for *TUI* in 2022.

2022	€ '000
Current assets	7 758 152
Current liabilities	5 654 468

Figure 1

(c) Calculate, to two decimal places, the current ratio for *TUI* for 2022. You are advised to show your working.

(2)

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7. Question 3 · part c · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

(d) Analyse the effect on *TUI* customers of an increase in interest rates.

(6)

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7. Question 3 · part c · 2 marks · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

4 In 2022 the current assets for *Premier Inn* were £9 566 million and current liabilities were £5 447 million.

(a) Calculate, to two decimal places, the current ratio in 2022. You are advised to show your working.

(2)

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8. Question 4 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

(b) Analyse the importance of making sure that guests have a quality service when staying at a *Premier Inn*.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

Working and answer

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9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

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CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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Figure 1 is a financial extract from *CCT*.

	CYN
Total revenue	1 444 304
Total labour costs	750 288
Total material costs	234 465
Other costs	46 893

Figure 1

(vi) Using **Figure 1** which **one** of the following is correct for *CCT*?

Select **one** answer

(1)

- ☒ **A** It made a loss of 1 031 646 CYN
- ☒ **B** It made a loss of 412 658 CYN
- ☒ **C** It made a profit of 412 658 CYN
- ☒ **D** It made a profit of 1 031 646 CYN

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(b) Define the term **branding.**

(1)

(c) Define the term **autonomy.**

(1)

9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** method of secondary market research *CCT* could use to collect market data.

(1)

In 2024 *CCT* had current assets of 561 258 CYN and current liabilities of 233 098 CYN.

(e) Calculate, to two decimal places, the current ratio for 2024. You are advised to show your working.

(2)

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(f) Explain **one** benefit to a business owner of operating as a private limited company.

(3)

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9. Question 1 · part e · 2 marks · Working and answer

Working and answer

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